

SHOPPING FOR THE BROKER

I'VE HAD SEVERAL PREVIOUS BROKERS. IN FACT, THE GENERAL turnover rate between me and the brokers is at least as high as the turnover rate in the presidential palaces of Latin American countries. In both the Latin American countries and in investing, the feeling that things could improve has been kept alive by the constant comings and goings of authorities who promise better times, only to fail and get ousted—to be replaced by new authorities.

My next-to-last broker, whose name I would like to forget, came highly recommended by a friend of mine. At first, I liked this broker much better than the preceding one, my brother-in-law's broker, who was likable herself until the failure of Ramada Inns to get the casino license. My next-to-last broker continued to be likable until the fall of Sykes Datatronics and Anacomp. During the incredible bull market in the summer of 1982, he stayed on vacation in the Vermont woods and returned to work just in time to get us in at the top. From there, the spousal assets drifted down for many months.

Toward the end of 1983 this broker said 1984 would be a good year for the first half but the second half would be very risky. Halfway through 1984 nothing good had happened and remembering his words I asked him what was going wrong. "I got it backwards," he said. "The first half was the bad part and the second half will be terrific." At the end of the year neither half had been terrific, at least not for us. Again under questioning, the broker explained it was hard to figure the market with so many investors using telephone services to switch their money in and out of mutual funds.